

Document Control	
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		Preeti Sethi	Aditya Kanoria	Board	

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I. Background:

This policy shall be called as Risk and Liquidity Management Policy ("**Policy**") effective from the launch of the Fund.

SEBI (Alternative Investment Fund) Regulations, 2012 requires the Investment Manager of an Alternative Investment Fund to establish and implement a Risk and liquidity management Policy.

The private placement memorandum of the Fund, Investment Management Agreement, Contribution Agreement(s) and Trust Deed shall collectively be referred to as the "**Fund Documents**".

II. Introduction:

Risk and liquidity management is an attempt to identify and manage threats that could severely impact the Trust. Generally, this involves reviewing operations of the Trust, identifying potential threats to the organization and the likelihood of their occurrence, and then taking appropriate actions to address the most likely threats.

The Board of the Investment Manager (**Board**) places utmost importance on the sound management of risk. Good risk and liquidity management underpins a successful organization and forms an integral part of the management processes and culture.

The Investment Manager recognizes that risk is an integral part of doing business and that proactive identification, assessment, measurement and managing risk effectively is critical to the immediate and future success of the Investment Manager.

The Investment Manager also recognizes that it is incumbent on every member of the Investment Manager to understand the risk environment in which the Fund operates and be cognizant of the risks in the day-to-day functioning of the Investment Manager and the Fund.

The Investment Manager, through Policy, presents an enterprise-wide approach to ensure that key aspects of risk that have an enterprise-wide impact are considered in its conduct of business.

Through this Policy, the Investment Manager has made a sincere attempt to identify, assess, measure and then manage threats that could threaten the Fund's investments as well its overall existence, likelihood of re-occurrence of risks, and then taking appropriate actions to address the most likely threats.

This Policy provides entity-level risk guidelines encompassing key risk areas across the group such as investment risk, operational risk, technology risk, strategic and reputation risk. It also involves monitoring the risks to which each investment being made by the Fund is subject, and continuously monitoring such risk.

III. Policy of Risk and Liquidity Management Framework

This Policy forms part of Investment Manager's internal control and governance arrangements. It explains Investment Manager's underlying approach to risk and liquidity management and gives key aspects of the risk and liquidity management process. It is designed to manage the risks within Investment Manager's business and is comprehensive and proportionate to the nature and scale of its activities.

Investment Manager is responsible for maintaining a sound system of internal control that supports the achievement of policies, aims and objectives while safeguarding the Alternate Investment Funds (AIF) and AIF contributors to which it acts as Investment Manager. Investment Manager follows an open and mitigating approach to risk and liquidity management. Our core values and ethics provide the platform for our risk and liquidity management activities.

A) Risk impacting the Fund

The risks impacting the Fund and the Investment Manager include the following broad categories:

1. **Risk for Certain Type of Investors:** Small/individual investors face greater relative exposure due to the limited size of their investment and may not receive the preferential rights or terms that large or institutional investors might access via side letters. Additionally, they typically lack representation on any advisory committee. Overseas investors, including NRIs, must comply with applicable FDI/FPI regulations and are exposed to currency risk due to the Indian Rupee-denominated units. Institutional investors may be constrained by their governing documents from investing in certain sectors or instruments, and the Scheme's common portfolio structure may not accommodate such restrictions.
2. **Risks For the Type of Securities/Instrument the Scheme may Invest:** Equity and equity-linked investments in privately held entities carry high risk due to limited public information, requiring reliance on the Investment Manager's judgment, which may lead to losses if material data is missed. Listed securities are subject to market price fluctuations that directly impact Fund value. Mutual fund investments involve market risks, performance uncertainty, and dependency on external scheme-level risks as detailed in their offer documents. Debt instruments, especially unrated or long-duration securities, are prone to credit, interest rate, and liquidity risks, with potential obligor defaults or delayed payments affecting Fund returns. Derivatives, used for hedging, carry complexities including pricing mismatches, imperfect correlation with underlying assets, high leverage, execution risk, and potential for significant losses—especially for option writers and futures traders—if strategies are not effectively managed.
3. **Risks Related to Portfolio Investments:** This includes high volatility and potential capital loss in equity investments, credit and interest rate risks in debt instruments (especially unrated or convertible ones), and failure of portfolio companies to commercialize products, particularly in tech sectors. Fund units may be illiquid or delisted. Small and mid-cap securities pose higher volatility and limited liquidity. Leverage in portfolio companies amplifies default risk and financial instability, while interest rate fluctuations affect valuations. Temporary investments in liquid assets may lower returns, and counterparty defaults can harm the Fund. Hedging strategies may be ineffective or reduce potential gains, and use of leverage increases overall risk and volatility. **Risks Related to Investment Returns** include the absence of guaranteed returns, possible delays in capital deployment, stiff market competition, and NAV-based exit losses. **Exit Risks** arise from market or regulatory unpredictability, trading suspensions, or

forced in-specie distributions. **Side Letter Risks** involve preferential non-economic rights to select investors, potentially creating perceived inequality. **Fundraising Risk** may limit execution of investment strategy. **Third-Party Co-Investment Risks** include misaligned interests or director defaults. **Insurance Gaps** expose the Fund to losses from catastrophic events. **Environmental and Regulatory Changes, Counterparty Failures, Changes in Control, and Health Crises** like pandemics may disrupt operations, reduce returns, and adversely impact the Fund's performance.

4. Risk Related to Scheme Structure

Performance Risk: The Scheme's performance is directly tied to that of its Portfolio Entities, whose success is uncertain and may be adversely impacted by factors such as domestic and global economic, political, and business conditions; shifts in supply and demand; technological disruptions; and rising competition. Many Portfolio Entities may also require significant additional capital for growth or competitiveness, which may not be readily available. Investments carry a risk of capital loss despite the Investment Manager's efforts to align with the Scheme's objectives. Given the potential exposure to originators serving financially excluded segments in emerging markets—where historical data is limited—investors face heightened uncertainty, including the possibility of muted, below-normal, or even no returns. This Scheme is suitable only for sophisticated investors with a high-risk tolerance.

Risk in relation to the ability of the Investment Manager to identify and structure investments and divestments: The success of the Scheme heavily relies on the expertise of the Investment Manager, particularly its key investment team, whose loss could materially impact returns, though efforts will be made to replace such individuals with competent professionals. Investors have no decision-making authority, as all investment discretion lies solely with the Investment Manager, whose continued eligibility is also subject to regulatory compliance. The Scheme's performance depends on the Manager's ability to effectively source, screen, and select quality opportunities in an emerging market, which may pose challenges. Limited access to suitable investments or poor selection could lead to underperformance or losses.

Concentration Risk: The Scheme may have a limited number of investments, leading to concentration risk, where the underperformance of even a few investments could significantly impact overall returns. Additionally, geographic concentration in India, and potentially within specific sectors, may limit diversification and expose the Scheme to region-specific risks. Given the high-risk nature of many investments, poor outcomes from a small subset could materially affect total investor returns. While the Investment Manager will endeavor to diversify the portfolio, the inherent structure may still limit risk dispersion.

Risk associated with reliance on forward looking statements/market data: Certain information in the Memorandum includes forward-looking statements, identifiable by terms such as "may," "will," "expect," "believe," and similar expressions. These statements are based on current assumptions and projections; however, due to various risks and uncertainties, actual outcomes or Fund performance may differ materially from those anticipated or implied.

Risk associated with reliance on the Trustee, Investment Manager and other decision-making committees: Investors will have limited control over the Scheme and its investments, as all key decisions will be made by the Investment Manager in accordance with the Trust Documents and applicable laws. The Scheme's success is highly dependent on the expertise and involvement of the Investment Manager and its key personnel, whose departure could adversely affect performance.

Additionally, potential conflicts of interest may arise involving the Sponsor, Investment Manager, or key team members. While the Trust Documents and regulatory disclosures aim to mitigate such conflicts, not all scenarios may be addressed.

Risk associated with relying on third party service providers/intermediaries: The Investment Manager might have to rely on the opinion/advise/action of the third party service providers/intermediaries while performing the functions of the Scheme. The Investment Manager will not be liable for acting bonafide based on such advice. There may be circumstances whereby the Scheme might suffer losses because of acting on the advice of such intermediaries.

Risk on account of default by Investors: The Scheme may experience difficulty in making up for a shortfall in capital from other sources should an Investor default occur. A default by one or more Investors could have an adverse effect on the Scheme, its assets and the interest of other Investors. A Defaulting Contributor may be subject to significant financial consequences specified in the relevant Trust Documents.

Risks associated with restrictions on withdrawal/transfer and in-kind distribution: Investors are generally restricted from withdrawing or transferring their interests in the Scheme, except as permitted under the Trust Documents and applicable regulations. Additionally, the Investment Manager may, under certain circumstances, make in-specie distributions instead of cash. Such distributions may carry adverse tax implications and could involve securities that are illiquid or subject to disposal restrictions, limiting investors' ability to realize their full value.

Risks associated with India: Scheme Investments in India are subject to political, social, and economic risks, including policy changes, regulatory shifts, social unrest, and geopolitical tensions—particularly with neighboring countries. Developments such as nationalization, expropriation, or changes in taxation or foreign exchange regulations could adversely impact the Scheme's value. Although India has experienced consistent economic growth, future reversals or stagnation may negatively affect investments. Additionally, persistent inflationary pressures could lead to government intervention, dampen economic activity, and increase operating costs for Portfolio Companies, ultimately reducing returns for the Scheme and its investors. There may be a scenario of global slowdown or recession as happened in 2008-09 which may affect the functioning of the businesses in India and globally. In such an event the Scheme may not be able to raise its targeted corpus or there may not be viable investment opportunities for the Scheme, or the businesses of the Portfolio Entities may get adversely affected. Similar period of muted growth or recession can be observed by the global and domestic economy pursuant to the outbreak of COVID-19 pandemic

Management and Operational Risks: The risk of loss from inadequate or failed internal processes, controls or systems are not operating as intended to protect the organization against financial, legal or reputational harm. The Investment Manager may make inappropriate strategic choices or is unable to successfully implement the selected strategies. This includes Valuation Risk, Lack of Operating History, Failure to Meet Drawdowns by Investors, Restrictions on

Withdrawal and Transfer, Distributions in Kind, Dilution Risk, Liability for Return of Distributions etc. Termination of the Investment Manager, Reliance on the Investment Manager, Reliance on Professionals and Consultants, Dependence on Key Personnel etc.

Liquidity risk: This pertains to whether a Fund has sufficient liquidity to meet its future obligations (including potential obligations) when they fall due. The Fund may incur various obligations to meet running costs (such as salaries, rent and utilities), investment commitments,

investment recall obligations and to pay capital withdrawals.

Currency risk: The Scheme and its offshore Investors are exposed to currency risks due to exchange rate fluctuations. Offshore Investors may experience a loss in the value of their investments when converting returns to their home currency. Similarly, if the Scheme makes offshore investments, the value of these investments may vary with currency movements against the Indian Rupee. Although the Investment Manager may implement currency hedging strategies to mitigate these risks, such measures entail additional costs and may not always deliver the intended protection. Regulatory requirements related to offshore investments may further impact the Scheme's performance.

Counterparty risk: This is the risk that a counterparty fails to deliver on their contractual obligations, resulting in a loss to the Fund. The Board will put in place a framework that provides reporting and control procedures to address this risk.

Reputation Risk: Reputation risk is the risk of loss of reputation or credibility, which in turn could result in a commercial impact or other practical impact.

Technology risk: The risk that the technology that is adopted by the Fund does not adequately address the risks such as malicious attack, hacking, etc. and the Fund would be put to reputation loss on account of failed technology.

5. Risk Related to Regulation

The Scheme is subject to legal and regulatory risks, including the potential suspension or cancellation of its SEBI registration for non-compliance with applicable laws, which could severely disrupt its operations. The Indian legal system, though comprehensive, may involve delays and uncertainties in enforcing contractual rights due to procedural backlogs and less-developed creditor/shareholder protections compared to developed jurisdictions. Arbitration may offer faster resolution, but favorable terms may not always be negotiable with Portfolio Entities. Additionally, the Scheme may face litigation risks if Portfolio Entities encounter financial or operational challenges, potentially impacting returns. Changes in laws, retrospective policy shifts, or regulatory actions—including investigations or directions by SEBI—may further restrict the Scheme's operations and adversely affect its performance.

6. Risk Related to Tax Factors

The Scheme is exposed to multiple tax and sector-specific risks that could impact its performance and the returns to Investors. The implementation of General Anti-Avoidance Rules (GAAR) in India allows tax authorities to disregard arrangements primarily aimed at securing tax benefits, even overriding applicable tax treaties. The interpretation and application of GAAR remain uncertain, with no established precedents, adding to the complexity and risk. Additionally, any changes in tax laws, tax treaty renegotiations, or shifts in administrative practices could result in adverse tax implications for the Scheme and its Investors, possibly with retrospective effect. The Indian economy, while liberalized, remains susceptible to policy reversals, slowdowns, and government influence, which may disrupt business environments and investment prospects. Furthermore, sector-specific risks such as rapid technological changes, particularly in information technology, may impact the profitability and timelines of Portfolio Entities. The Scheme and its Portfolio Entities are also vulnerable to cybersecurity

threats, which could lead to business disruption, reputational harm, or financial loss, thereby affecting overall Scheme performance.

B) Risk and liquidity management Framework

The objective of the risk and liquidity management framework is to ensure that the Fund operates within its risktolerance and risk limits. This is achieved by

- Effective and efficient continuity of operations;
- Safeguarding of assets;
- Preservation and enhancement of reputation;
- Reliability of internal and external reporting;
- Compliance with applicable laws and regulations.

The focus of the risk and liquidity management framework is on the following key elements, viz.

- Risk Assessment;
- Risk and liquidity management;
- Risk Monitoring.

(i) Risk Assessment

Risks are analysed, considering likelihood and impact, as a basis for determining how they should be managed. Risk assessment consists of a detailed study of threats and vulnerability and resultant exposure to various risks. To meet the stated objectives, effective strategies for exploiting opportunities are to be evolved and as a part of this, key risks are identified and plans for managing the same are laid out.

(ii) Risk and liquidity management

In the management of risk and liquidity, the probability of risk assumption, which may threaten the existence of the Investment Manager, is estimated with available data and information and appropriate risk treatments are worked out in the following areas:

- Economic environment and market conditions including macro-economic conditions;
- Credit crunch;
- Fluctuations in foreign exchange;
- Political environment;
- Change in legal, regulatory and tax regime impacting the Fund;
- Competition;
- Technology environment;
- Revenue concentration;
- Reliance on external consultants;
- Inflation and cost structure;
- Transparency and due diligence of investments;
- Reliance on external consultants while taking investment decisions in the investee company;
- Fraud, embezzlement or other financial wrongdoing in the investee company;
- Act of God, including natural calamities, wars and terror attacks.

The above list is illustrative only and any other information that is material to the basis for any investment by the fund should be included as a risk factor.

(iii) Risk Monitoring

Once an investment decision is made, the risks are to be continually monitored against the base case version to ensure that risks do not result in negative returns.

The Investment Manager, while making any investment, shall also consider the risk at the investee company level to which the investment of the Fund will be subject.

C) Risk Mitigation Strategy

The Investment Manager recognizes that risk is an integral and unavoidable component of business and is committed to managing the risk in a proactive and effective manner. The Investment Manager believes that risks cannot be eliminated. However, it can be:

- Assigned to another party, who is willing to take risk, say by buying an insurance policy or entering into a forward contract;
- Reduced, by having good internal controls and continuous monitoring;
- Avoided, by not entering into risky businesses;
- Retained, to either avoid the cost of trying to reduce risk or in anticipation of higher profits by taking on more risk;
- Shared, by following a middle path between retaining, monitoring and assigning risk and
- Insurance coverage against fraud.

D) Risk Mitigation Framework

The following factors would be considered while undertaking risk mitigation and reporting:

1. Investment Risk:

Investment risks are managed by:

- Having detailed investment procedures;
- Appropriate liquidity and treasury management;
- Drawing up cash flow projections and comparing them with actuals and stress testing.

The Investment Manager believes (but cannot guarantee) that the assets of the Fund will be invested in a manner that would allow the Fund to satisfy redemption requests in the ordinary course. Failure to manage portfolio liquidity effectively could lead to the inability of the Fund to meet redemptions or ensure trade settlement. The risk is primarily mitigated through a combination of monitoring portfolio liquidity and monitoring of redemption requests.

2. Risk to Strategy:

Managing strategy risk is primarily achieved through strategic planning and implementation processes.

- Ongoing monitoring of the plans against actual results;
- Making course corrections.

3. Operational Risk:

Operational risk is the risk of loss, resulting from inadequate or failed internal processes, people and systems or from external events. Operational risk is managed on an on-going basis by:

- Segregation of duties achieved by separating the investing function (undertaking by Investment Manager) from the transaction settlement, recording and reporting of investment activities (undertaken by an independent custodian)
- Appropriate operational, legal and taxation due diligence;
- Regular assessment and monitoring of internal controls;
- A robust recruitment and selection process which ensures that the people recruited adhere to strong ethical and professional standards;
- Effective application of policies, procedures and controls;
- Clear delegation of authority;
- Stringent vendor-selection processes;
- Effective budget setting and financial management;
- Stringent disciplinary procedures;
- Having appropriate code of conduct and conflict management policies.

4. Reputation Risk

Reputation risk is managed by constant interaction with all the stakeholders;

5. Technology Risk:

Technology risk is managed by:

- Installing appropriate hardware and software controls such as access controls, firewalls, etc.
- Password management systems

6. Underlying Assets-level action items:

At the underlying assets level, the Investment Manager should be cautious in conducting stress test at investment level i.e. the impact of valuation of adverse changes in parameters, risk model validation, back test the assumption of the model and assumption of back tests.

7. Concentration risk at fund level

Risks posed to us arising from concentrated exposure to a particular sector, micro-market, group or project. The investment objective of the Fund is to carry on the activity of a Category III AIF. The risk is managed by limiting investment to 10% or less of investible funds in any one investee company. At the Fund level, the Investment Manager should strive to define the risk indicators, set-up quantitative and qualitative risk limits in terms of leverage, concentration, etc., manage and oversee the liquidity, disclose the risk related information in the financial reports and reporting to the regulators.

8. Structuring-level action items:

At the structuring level, the Investment Manager should identify and mitigate the risk relating to jurisdiction, taxes, regulatory or any other statutory or regulatory matters apart from assessing and monitoring the credit risk and liquidity.

9. Credit risk at fund

Credit risk (or counterparty risk) is the risk of default by the counterparty on its contractual obligations. Investment Manager aims to ensure that credit risk is minimized by detailed deal evaluation that includes rigorous financial, legal and technical due diligence with particular emphasis on any of the following:

- Promoter and management track record and credibility including with regard to operating and management efficiencies; both formal and informal opinions sought
- Stress testing by financial modelling of the project and sensitivity analysis
- In-depth understanding of the regulatory aspects and policies under which the investment will be developed

Risk and liquidity management is an on-going process and post investment, Investment Manager shall monitor the project progress and adherence to legal and regulatory compliance as well as financial and physical progress on site on a regular basis.

10. Safeguards against conflicts of interest

The following are some of the mitigants which shall be used to address Conflict of Interest.

- decisions taken by the risk and liquidity management function are based on reliable data, which are subject to an appropriate degree of control by the risk and liquidity management function, in accordance with the Fund Strategy and Fund Documents;
- the remuneration of those engaged in the performance of the risk and liquidity management function reflects the achievement of the objectives linked to the risk and liquidity management function, independently of the performance of the business areas in which they are engaged;
- the risk and liquidity management function is subject to an appropriate independent review to ensure that decisions are being arrived at independently;
- the risk and liquidity management function is represented in the governing body or the supervisory function, where it has been established, at least with the same authority as the portfolio management function;
- any conflicting duties are properly segregated.

E) Risk Mitigation/ Risk Control Measures adopted by the Investment Manager

The Investment Manager shall strive to adopt the following measures to mitigate the risks arising out of business operations, liquidity, credit, industry, human resources, legal requirements, etc.

- Improved due diligence procedures;
- Closer board scrutiny of risk and liquidity management activities;
- Better reporting and transparency;
- Defining flow of information to avoid any conflict or communication gap between two or more departments or functions;
- Undertaking effective steps on a continuing basis taking into consideration the various changing scenarios in the market

F) Development of culture towards risk and liquidity management

As risk is inherent in portfolio investments, the Board and other staff must be cautious in relation to managing the risk as a part of the day-to-day activity of the Investment Manager. It is incumbent on every member of the organization to understand the risk environment in which the organization and themselves as individuals operate.

IV) Disclaimer Clause

The risks outlined above and in Fund Documents are not exhaustive & does not purport to be a complete enumeration or explanation of the risks involved in an investment in the Fund. Readers are therefore requested to exercise their own judgment in assessing various risks associated with the entity.

V) Amendment

The Investment Manager reserves its right to amend or modify this Policy as may be considered appropriate at any time.
